

National Pricing & Market Intelligence — Executive Report

Tool: Power BI | Client: WX Brands (Bread & Butter Wines)

Overview

This report encapsulates key insights and findings of the Project. This analysis covers competitive performance across four major provinces (Ontario, Quebec, British Columbia, and Alberta), identifies strategic gaps, and delivers data-backed recommendations for market expansion and pricing optimization.

Project Scope

- Conduct a national pricing analysis comparing Bread & Butter Wines against key USA-origin competitors across major Canadian provinces
- Evaluate current promotional programs and measure their effectiveness in driving sales growth
- Assess Bread & Butter's market position across key wine varietals and identify competitive threats and opportunities
- Identify gaps in market coverage and recommend strategies for expansion and improved market positioning

Deliverables

- Comparative pricing analysis between Bread & Butter and key competitors
- Evaluation of promotional program effectiveness and incremental sales impact
- Strategic recommendations for pricing optimization and market expansion
- Written report summarizing data analysis, findings, and recommendations
- Presentation of key insights and strategic suggestions for WX Brands stakeholders

Bread & Butter Wines delivers +27% YoY growth while Canadian market contracts by -3.5%

Executive Summary

The Canadian wine market is undergoing a period of sustained contraction. During 2024, total wine sales declined by 1.39 million cases (-3.46%) on YoY basis. All major provinces experienced decline, ranging from -1.6% in Quebec to -5.3% in British Columbia, reflecting broader shifts in consumer spending behavior, inflationary pressures and evolving alcohol consumption patterns.

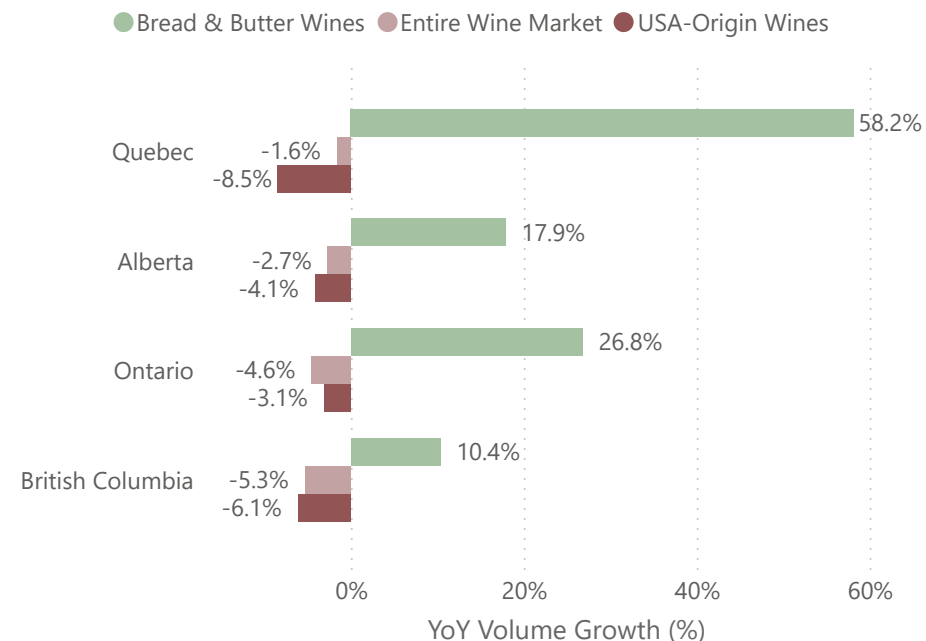
Despite these market challenges, opportunities remain within resilient segments, select varietals and strategically concentrated regional markets. This report analyzes market performance across 4 major provinces: Ontario, Quebec, British Columbia, and Alberta to identify where Bread & Butter maintains competitive strength, where it is outperforming the broader declining market and where untapped growth potential exists.

Key Report Highlights:

- ▶ Bread & Butter is underpenetrated in Quebec
- ▶ Challenges are rising against Chardonnay leadership in British Columbia
- ▶ Pinot Noir: B&B's National Stronghold
- ▶ Opportunity in highly concentrated Cabernet Sauvignon Ultra Large format

Bread & Butter Demonstrates Strong Growth Despite Market Contraction

Bread & Butter Wines outperformed both the overall Canadian wine market and the USA-origin wine segment across all major provinces in 2024.



Bread & Butter is Underpenetrated in Quebec Despite Strong Market Potential

Quebec leads per capita wine consumption at 1.54 (9L) cases (85% higher than Ontario), yet yields just 13.6% of total Bread & Butter portfolio sales. Direct **US competitors capture 20% of their volume** in the province, while **B&B sits at 14%** — a performance gap directly caused by supporting only three active varietals.

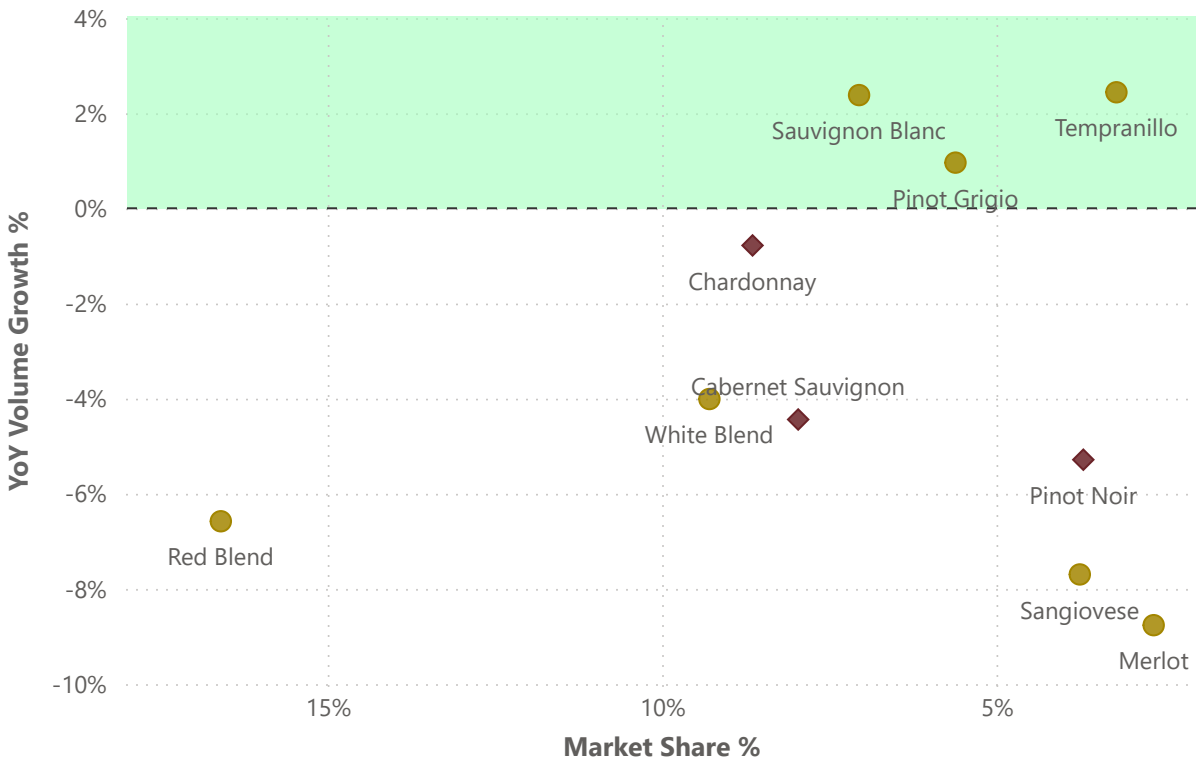
Expanding into Sauvignon Blanc, Pinot Grigio, and Red Blend would materially increase Bread & Butter's addressable market in Quebec.

Top 10 Varietals by Volume - YoY Growth (%) vs Market Share (%) - 2024

B&B - Presence

● No

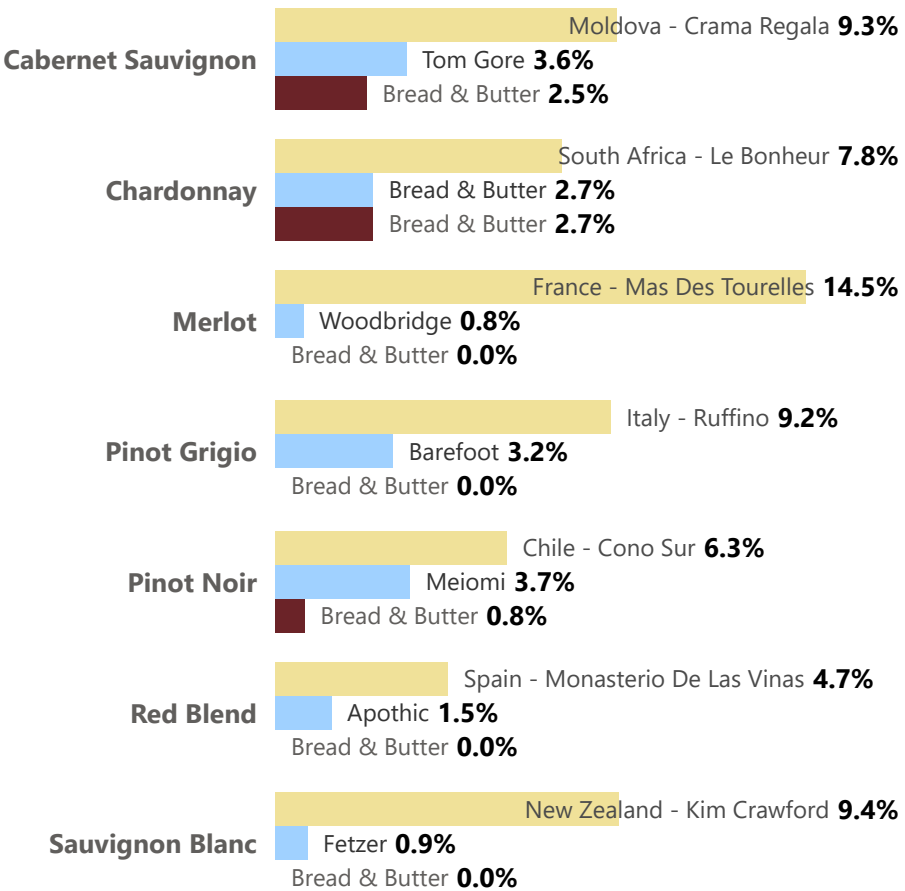
◆ Yes



Chardonnay Leads Portfolio Performance; Pinot Noir Demonstrates Strong Early Momentum

Market Share (%) comparison among Market Leader, Top USA-Origin brands and Bread & Butter

● Market Leader ● Top Brand - USA Origin ● Bread & Butter

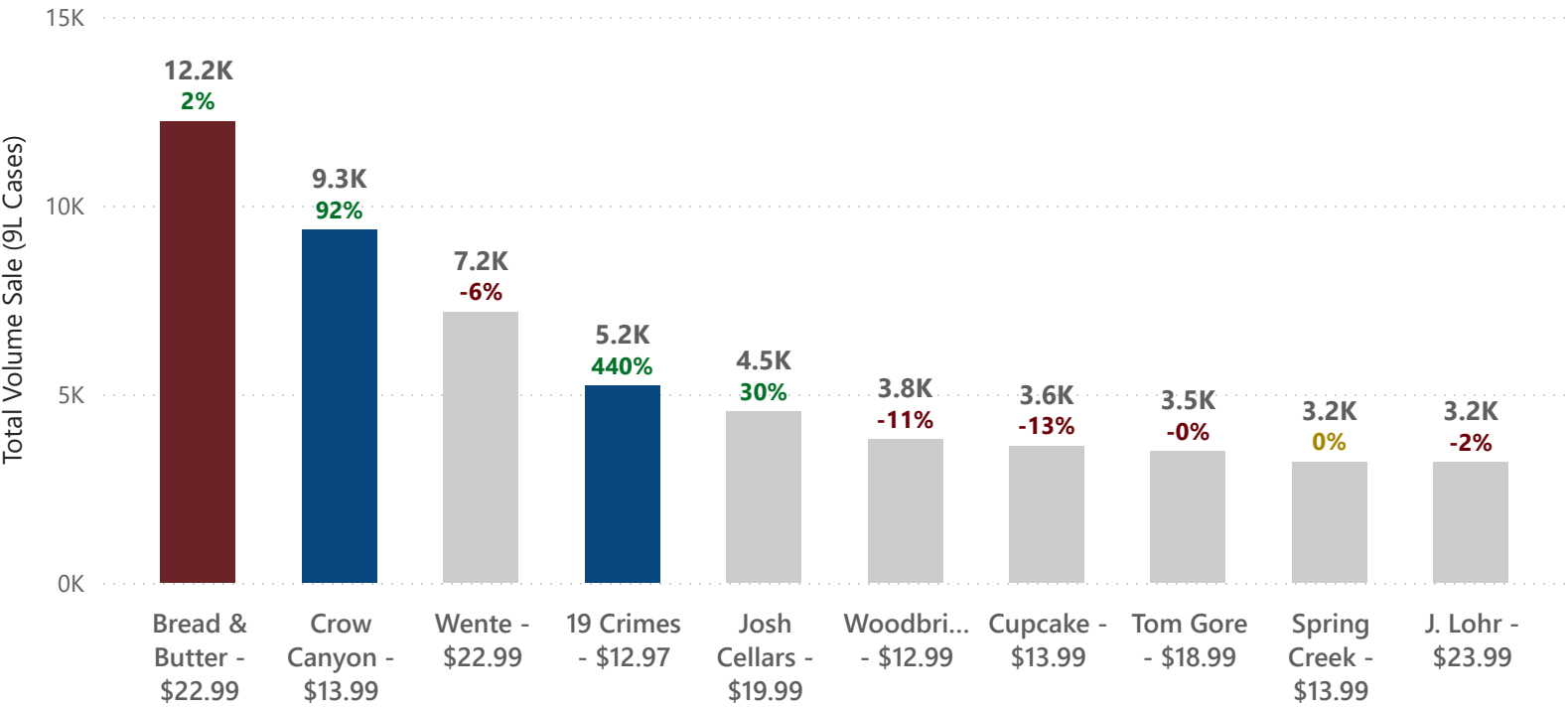


Value-Tier Challengers Are Growing Significantly Faster Than the Category Leader

- ▶ In **British Columbia**, **Bread & Butter** remains the leading **USA-origin Chardonnay brand**, but growth is lagging the market as consumers increasingly gravitate toward lower-priced alternatives.
- ▶ **Chardonnay is an ultra-competitive varietal** (HHI: 424), where leadership positions are difficult to sustain and market share shifts occur rapidly.
- ▶ Bread & Butter maintains the #1 position among USA-origin Chardonnay brands with an **11.9% market share**; however, **brand growth (+2.0%) trails its own category market growth (+9.4%)**, indicating a **loss of competitive momentum**.

Consumer Demand Is Increasingly Shifting Toward Value-Tier Chardonnay Brands

The fastest-growing Tier 1 brands are concentrated in the \$12.50–\$14.99 price range, well below Bread & Butter's \$22.99 premium positioning. Province: British Columbia, Varietal: Chardonnay, Format: 750 ml



Key Findings:

- ▶ Crow Canyon (#2) has emerged as a major challenger, capturing 8.8% market share while delivering +92% YoY volume growth at a retail price of \$13.99.
- ▶ **19 Crimes** (#4) represents an even more disruptive threat, achieving **+440% YoY** volume growth and **4.95% market share** while competing at a retail price of \$12.97.

Recommendation:

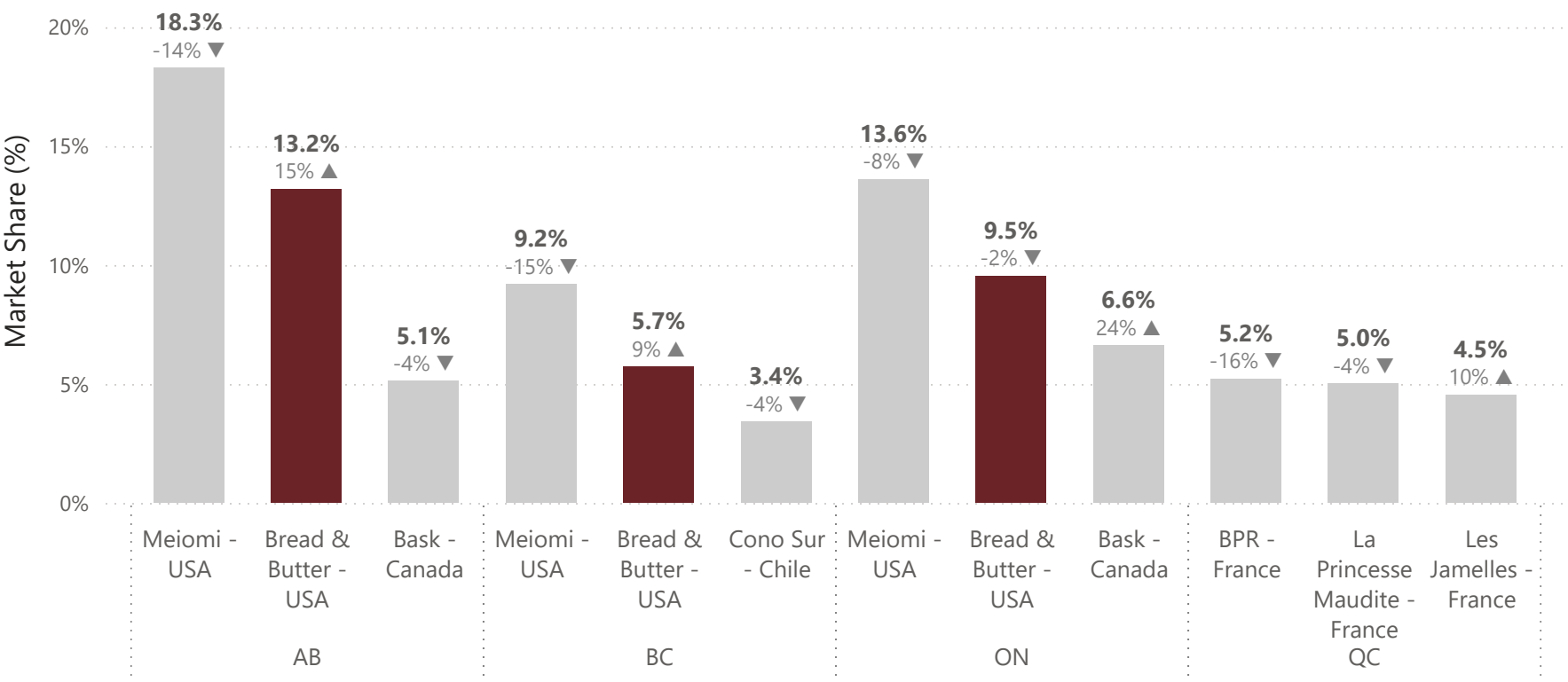
- ▶ A targeted LTO at \$19.99 during Q4 would let B&B compete in Segment H without permanently repricing the brand.

Pinot Noir is a National Stronghold for Bread & Butter, with Quebec emerging as the next Growth Frontier

Nationally, Bread & Butter ranks #3 by volume with a 5.7% national market share and 11.1% YoY growth, reinforcing Pinot Noir as one of the portfolio's strongest performing varietals.

Bread & Butter holds the #2 position among all Pinot Noir brands in Alberta, British Columbia, and Ontario, demonstrating strong consumer acceptance and brand equity across Canada's largest markets.

2024 Regional Market Share (%) | Top 3 Pinot Noir Brands (750ml)



Quebec Launch Momentum:

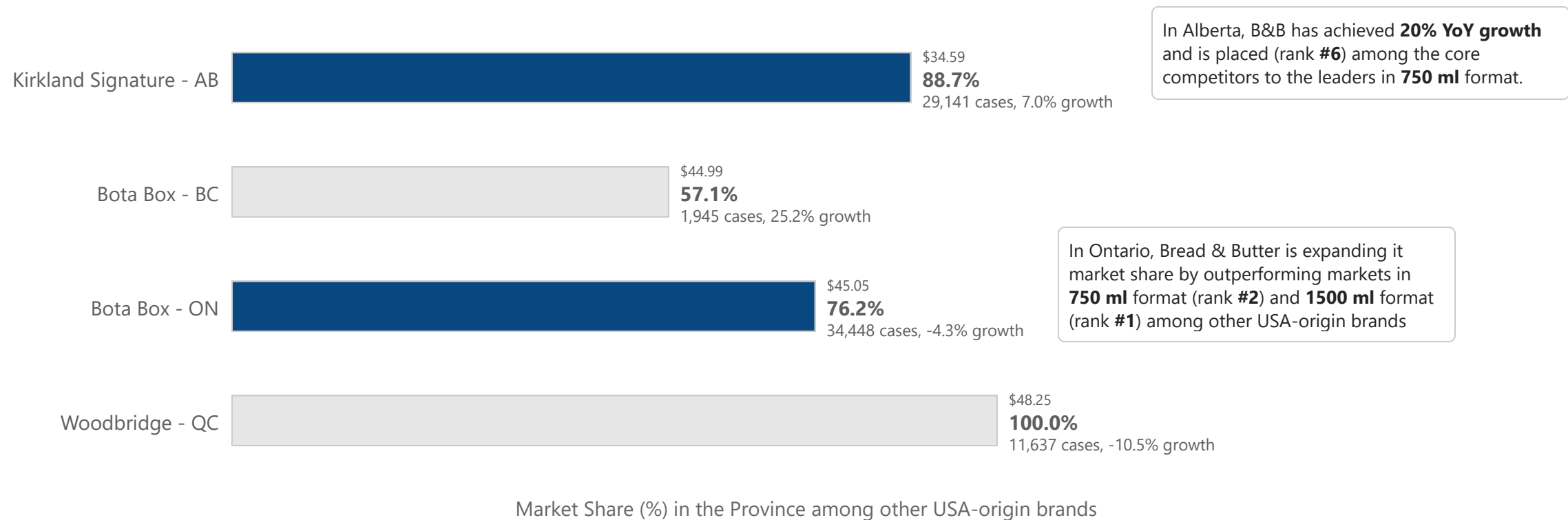
- ▶ Quebec remains the only major province where Bread & Butter has not yet established a leading position; however, the brand was only launched in the market last year.
- ▶ Despite **B&B's recent launch** in Pinot Noir, Bread & Butter has already climbed to **#29 among 200+ competing brands** from all origins by delivering **+5,606% YoY growth**.
- ▶ The combination of national leadership and accelerating Quebec performance suggests a clear pathway for further market share expansion.

The Cabernet Sauvignon 3000 ml Segment remains controlled by One Leading Brand across Most Provinces

- ▶ The 3000 ml format represents a meaningful share of USA-origin volume across key provinces, accounting for 10.8% of sales in Alberta and maintaining a notable presence in Ontario, British Columbia, and Quebec.
- ▶ Bread & Butter's strong performance in 750 ml and 1500 ml formats provides a credible platform for expansion into the under-served 3000 ml segment.

Cab Sauv - 3000 ml format among USA-origin brands is highly concentrated due to very low competition

Alberta and Ontario have significant leader volume. B&B should target the Alberta 3000ml format as a priority entry point, positioning against Kirkland's dominance through retail partnerships, leveraging existing 750ml brand recognition in the province.

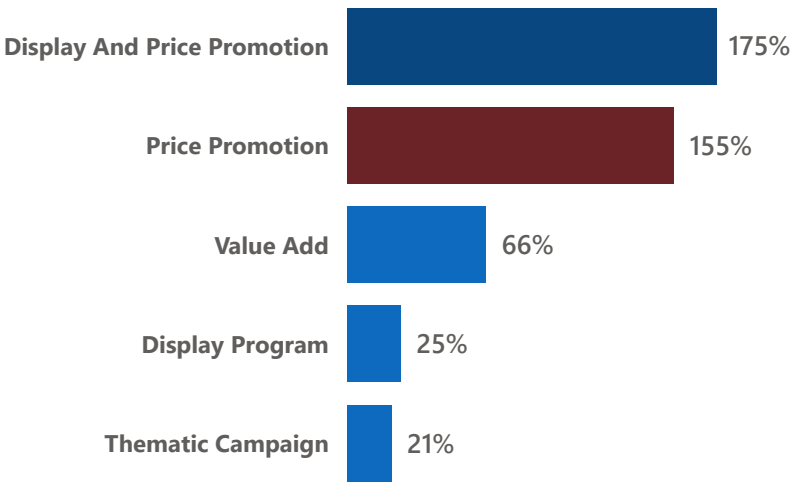


Promotional di-biasing reveals stagnating Organic Growth of Cabernet Sauvignon in Ontario

- ▶ Promotional Analysis shows strong lifts generated due to Price Promotions. Also, adding Display Programs to Price Promotions generates diminishing returns.
- ▶ Organic volume was isolated by stripping out the promotional lift percentage from total sales, which also shows stagnating to slight declining baseline demand inline with broader market contraction.
- ▶ The OLS forecasting model extrapolates long-term growth momentum. 11.54% wMAPE suggest the forecasted sales range between 76k and 96k.

Price Promos Drive the Highest Lift; Dual Bundling Yields Inefficient Synergy

Average sales lift (%) by marketing tactic with isolated overlapping impacts (95% confidence interval)



Promo Dependency Hit 33% in 2023-24 indicating over-reliance on Promotions

Province: ON | SKU: ON647644 | Brand: Bread & Butter | Varietal: Cabernet Sauvignon | Size: 750 ml

